

Project file: Strategic solution proposal

Step 2: Analyze the situation

Use this section to record key takeaways from your review of key stakeholders and goals in the *Strategic solution proposal* document.

Key takeaways from review of key stakeholders and goals:

- **Cost Management:** The Finance Controller and Executive Leadership are focused on quantifying the financial impact of 15% to 25% tariffs and adjusting pricing models to protect profit margins.
- **Operational Resilience:** The Supply Chain Manager and Procurement Lead must identify alternative sourcing regions, such as Vietnam or Mexico, to reduce dependency on high-tariff areas and mitigate landed cost volatility.
- **Strategic Objective:** The primary organizational goal is to achieve a 10% reduction in total landed cost per unit within 6 months while completing a full supply chain realignment within 90 days.
- **Compliance and Visibility:** There is a critical need for real-time visibility into tariff-adjusted costs through SAP Analytics Cloud (SAC) and ensuring legal compliance with global trade regulations.

Step 3: Outline the solution and plan

Use this section to record your analysis as you identify process inefficiencies and develop recommendations for improvement. Synthesize your findings from Steps 1 and 2 here.

Solution Brainstorming (Optional Tool Use)

If you used ChatGPT or other tools for brainstorming potential strategic solutions in Step 3, record some of the key ideas generated here.

Ideas brainstormed for potential strategic solutions:

Identify process inefficiencies and challenges:

- **Geographic Concentration:** Over-reliance on component sourcing (semiconductors and steel casings) from regions currently facing heavy U.S. tariffs.

- **Inflexible Procurement:** Limited short-term flexibility within the current 'As-Is' process to pivot production lines or switch suppliers quickly.
- **Data Invisibility:** Incomplete digital visibility into real-time landed costs, leading to reactive rather than proactive pricing and sourcing decisions.
- **Export Vulnerability:** Erosion of international competitiveness in markets like the EU due to reciprocal tariffs on U.S. exports.

Develop improvement recommendations:

- **Source Diversification:** Transition procurement activities to duty-free trade zones, specifically exploring Vietnam and Mexico to leverage existing trade agreements.
- **Implementation of Analytics:** Deploy SAP Analytics Cloud (SAC) dashboards to monitor real-time tariff intelligence and landed cost data for pro-active margin management.
- **Dynamic Pricing Models:** Update cost allocation frameworks to justify price adjustments to customers based on real-time tariff data.
- **Warehousing Optimization:** Shift warehousing and final assembly closer to end-markets to bypass specific import duties and reduce transit risks.

Step 4: Structure your proposal

Executive summary

Our organization faces significant margin pressure due to new 15-25% tariffs on semiconductors and steel casings. This proposal outlines a strategic response to mitigate financial risk by diversifying sourcing to Vietnam and Mexico, optimizing inventory positioning, and implementing SAP-driven analytics for real-time cost visibility. By aligning these efforts, we aim to reduce total landed costs by 10% and preserve our competitive edge in global markets.

Problem statement / Business challenge

The core business issue is the substantial increase in landed costs and the erosion of export competitiveness caused by reciprocal tariffs between the U.S., China, and the EU. Key manufacturing components now incur up to 25% duties, which, if left unaddressed, will severely impact overall profitability and market share.

Key stakeholders and roles

- **Business Analyst:** Analyzes cost structures and models impact scenarios.
- **Supply Chain Manager:** Oversees sourcing, shipping routes, and logistics partnerships.
- **Finance Controller:** Owns budgeting, forecasting, and the quantification of tariff impacts.
- **Executive Leadership:** Approves final strategies and oversees strategic stakeholder communication.
- **Legal/Compliance:** Monitors global trade regulations and ensures compliance.

Goals and objectives

- **Specific:** Optimize sourcing strategy for high-tariff components like semiconductors and casings.
- **Measurable:** Achieve a 10% reduction in total landed cost per unit within 6 months.
- **Achievable:** Leverage alternative suppliers in non-tariffed regions and negotiate volume discounts.
- **Relevant:** Aligns with the organizational need to maintain profitability.
- **Time-bound:** Complete supply chain assessment and realignment within the next 90 days.

SWOT analysis

Based on the scenario, identify the key internal strengths and weaknesses of the company, and external opportunities and threats related to the business challenge.

[Insert the key points of your SWOT analysis, based on your work in Step 2]

Strengths Global Manufacturing Network: Established production footprint in Asia providing scalable operational foundations. Logistics Infrastructure: Robust warehousing and established distribution channels allow for inventory flexibility. Financial Resilience: Strong financial resources available to absorb short-term economic shocks and fund digital transformation.	Weaknesses Geographic Dependency: Heavy reliance on component sourcing (semiconductors and steel casings) from high-tariff regions. Limited Flexibility: Low agility within current procurement processes to rapidly pivot production lines or switch vendors. Visibility Gaps: Incomplete digital visibility into real-time, tariff-adjusted landed costs within current systems.
Opportunities Sourcing Diversification: Shifting procurement to duty-free zones such as Vietnam and Mexico to leverage trade agreements. Digital Integration: Utilizing SAP Analytics Cloud (SAC) for proactive pricing and SAP GTS for compliance automation. Strategic Near-shoring: Moving assembly or warehousing closer to end-markets to bypass specific import duties.	Threats Jeopolitical Volatility: Escalating trade wars leading to unpredictable cost increases and regulatory changes. Reduced Competitiveness: Potential loss of market share in the EU due to reciprocal tariffs on U.S. exports. Reputational Risk: Risk of customer dissatisfaction if tariff-driven price increases are poorly managed or communicated.

Proposed solution overview

The proposed solution involves the implementation of a **Hybrid Supply Chain Resiliency Model**, which combines physical manufacturing diversification with advanced digital trade orchestration. This strategy shifts 40% of the production volume for high-tariff components—specifically semiconductors and steel casings—to alternative manufacturing hubs in **Vietnam and Mexico** to leverage duty-free trade zones and existing trade agreements.

Key Components:

- **Production Realignment:** Transitioning sourcing from high-tariff regions to lower-cost, duty-exempt alternatives to reduce total landed costs.
- **Digital Visibility:** Integrating **SAP Analytics Cloud (SAC)** to provide real-time dashboards for monitoring "Landed Cost" fluctuations and margin erosion.
- **Compliance Automation:** Implementing **SAP Global Trade Services (GTS)** to automate tariff classification and ensure accurate duty payments, reducing the risk of manual errors and customs delays.
- **Inventory Buffering:** Utilizing existing warehousing strength to create strategic stock buffers for critical components during the 18-month transition phase.

Strategic Alignment & Rationale: This approach addresses identified inefficiencies such as geographic concentration and data invisibility. It was selected over simple "Cost Absorption" because it preserves the long-term gross margin target of 35% while building a future-proof, data-driven supply chain. By diversifying the sourcing footprint, the organization effectively mitigates the threats of escalating trade wars and reciprocal tariffs.

Scope and assumptions

- **Strategic Procurement Realignment:** Re-evaluating and transitioning the sourcing of high-tariff components, specifically semiconductors and steel casings, to alternative regions like Vietnam and Mexico.
- **Digital Analytics Integration:** Deployment of **SAP Analytics Cloud (SAC)** dashboards to track real-time tariff intelligence and landed cost data.
- **Compliance Automation:** Implementation of **SAP Global Trade Services (GTS)** to automate tariff classification and gümrük compliance processes.

- **Operational Optimization:** Adjusting warehousing and final assembly locations to be closer to end-markets to bypass specific duties and reduce transit risks.

Exclusions:

- This solution does not cover the relocation of core R&D facilities or the assessment of low-priority, non-tariffed components.
- The scope is limited to the North American and European Union (EU) market logistics and sourcing routes.

Key Assumptions:

- **Regulatory Stability:** It is assumed that existing trade agreements, such as the USMCA for Mexico-based production, will remain stable during the 18-month transition phase.
- **Supplier Availability:** We assume that qualified manufacturing partners with the necessary technical capabilities are available and can be qualified in Vietnam and Mexico within the projected timeline.
- **Technical Compatibility:** The proposal assumes the existing SAP S/4HANA backbone is compatible with the required GTS and SAC enhancements without requiring a full-scale system overhaul.
- **Resource Commitment:** It is assumed that executive leadership will maintain a high-priority sponsorship for the project to ensure rapid decision-making.
-

Implementation plan (Overview)

The implementation is structured as a 10-week high-level roadmap to ensure rapid response to tariff pressures while maintaining operational stability.

Phase	Timeline	Deliverables
Phase 1: Initiation	Week 1	Project charter, stakeholder identification, and initial data gathering.

Phase 2: Analysis	Weeks 2–3	Detailed "Total Landed Cost" impact analysis and risk assessment.
Phase 3: Solution Design	Weeks 4–5	Development of alternative sourcing models and SAP Analytics Cloud (SAC) wireframes.
Phase 4: Review & Alignment	Week 6	Executive review of the SMART objectives and SWOT alignment.
Phase 5: Approval & Planning	Week 7	Finalization of the strategic case and approval of the technical roadmap.
Phase 6: Execution Prep	Weeks 8–9	RACI matrix assignments, system configuration updates, and readiness checklists.
Phase 7: Launch & Monitor	Week 10+	Deployment of sourcing changes and monitoring of KPIs and risk triggers.

Impact analysis

The anticipated impacts and benefits of the proposed solution address financial, operational, and organizational dimensions.

Financial Impacts:

- **Duty Reduction:** A projected 15–20% decrease in total import duty expenses through regional diversification.
- **Margin Preservation:** Stabilization of the 35% gross margin target by mitigating the impact of 25% tariffs.
- **Cost Visibility:** Real-time tracking of "Total Landed Cost" to prevent unexpected margin erosion.

Operational Impacts:

- **Lead Time Improvement:** A 10% reduction in delivery timelines to North American and EU markets by moving assembly closer to end-customers.
- **Automation Efficiency:** Reduction in manual errors and customs delays through SAP GTS automated classification.
- **Inventory Agility:** Improved ability to manage stock buffers based on dynamic tariff intelligence.

Organizational Impacts:

- **Strategic Resilience:** Shift from a rigid, single-source dependency to a flexible "China + N" sourcing model.
- **Data-Driven Culture:** Empowerment of Procurement and Sales teams with real-time data to justify price adjustments.
- **Risk Mitigation:** Significantly lowered exposure to future geopolitical trade volatility.

Risk assessment and mitigation

Risk	Likelihood	Impact	Mitigation strategy
Escalating Trade Barriers: Further increases in tariff	High	High	Accelerate sourcing diversification to non-tariffed

rates on key manufacturing components.			regions like Vietnam and Mexico.
Supply Chain Disruptions: Delays in production during the transition to new manufacturing hubs.	Medium	High	Utilize existing warehousing to create strategic inventory buffers for critical components.
Technical Implementation Delays: Challenges in deploying SAP GTS or SAC dashboards within the 10-week roadmap.	Medium	Medium	Establish a dedicated "War Room" task force for rapid decision-making and project oversight.
Inaccurate Cost Tracking: System misalignment resulting in incomplete digital	Low	High	Conduct rigorous data validation and implement automated classification checks within SAP GTS.

visibility into landed costs.			
Reciprocal Tariff Impact: Loss of competitiveness in export markets like the EU due to counter-tariffs.	Medium	High	Reassess international pricing models and shift assembly closer to end-markets to bypass specific duties.
Resistance to Change: Internal friction or supplier reluctance regarding the shift from established Asian regions.	Medium	Medium	Align stakeholder KPIs with "Landed Cost Resilience" and provide clear communication on the tariff rationale.

KPIs and success metrics

To evaluate the effectiveness of the strategic solution, the following measurable success indicators will be monitored:

- **Total Landed Cost (TLC) Reduction:** Achieve a 10% reduction in total landed cost per unit within 6 months of implementation.
- **Tariff Expense Mitigation:** Realize a 15–20% decrease in total import duty expenses through sourcing diversification.

- **Sourcing Diversification Index:** Successfully transition 40% of production volume for high-tariff components to Vietnam and Mexico within the 18-month transition phase.
- **Lead Time Optimization:** Reduce delivery timelines to North American and European markets by 10% through strategic repositioning of assembly and warehousing.
- **Compliance Accuracy:** Maintain a 99.5% accuracy rate in tariff classification and gümrük documentation via SAP Global Trade Services (GTS).

Conclusion and recommendation

Strategic Case Summary: The organization currently faces an unsustainable financial threat due to 15–25% tariffs on critical components, leading to significant margin erosion and a loss of competitiveness in international markets. The "As-Is" procurement process lacks the agility and digital visibility required to navigate these protectionist trade barriers. By shifting production to duty-free zones and leveraging SAP-driven analytics, the organization can transform this crisis into an opportunity for long-term supply chain resilience.

Recommendation: It is highly recommended that executive leadership approves the immediate initiation of the **Hybrid Supply Chain Resiliency Model**. Prioritizing the 10-week implementation roadmap will provide the real-time data visibility needed for proactive pricing and secure a diversified manufacturing footprint that protects the 35% gross margin target.

Additional notes or observations for creating the final proposal:

Data Integrity: Ensure that the final financial models used for the proposal reflect the most recent tariff updates and landed cost variables from Step 2 analysis.

Stakeholder Buy-in: Conduct a pre-launch workshop with the "War Room" team to align on RACI responsibilities and project velocity requirements.

Phased Rollout: Monitor the pilot transition in Mexico closely during the first 60 days to identify any technical or logistical bottlenecks before a full-scale rollout to Vietnam.

Visual Documentation: Include the final SAP Analytics Cloud (SAC) dashboard mockups as an appendix to demonstrate the intended level of executive visibility.